FirstMoney Bank

Loan Performance Analysis

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The Challenge & The Key Business Question

The Current Challenge

- **12% spike in defaults** across all 10 branches of FirstMoney Bank in the last quarter.
- Head of Retail requires an urgent diagnosis of regional and operational vulnerabilities.

The Key Business Question

- Using past-year data, what are the exact root causes of this increase?
- How must FirstMoney bank restructure **regional lending policies** and **RM target** to reduce risk and protect capital?

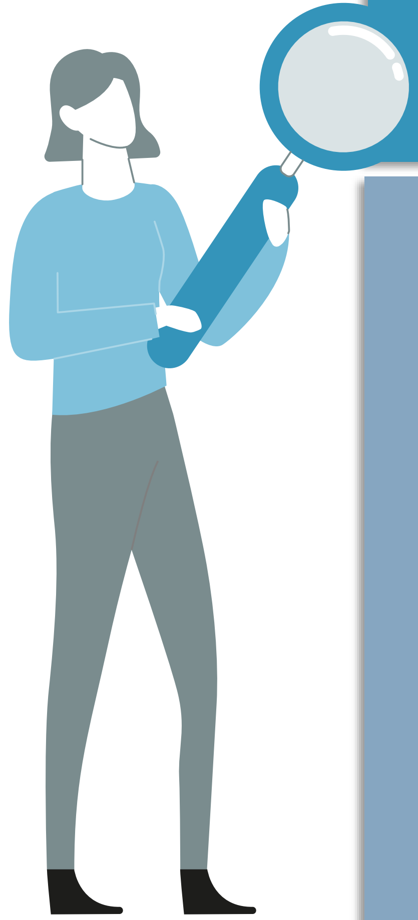
The Big Picture

The Total Loan Disbursed last years is currently sitting at **₦1.78 billion** across 500 loans

The Total Loan repaid is **₦1.03 billion**

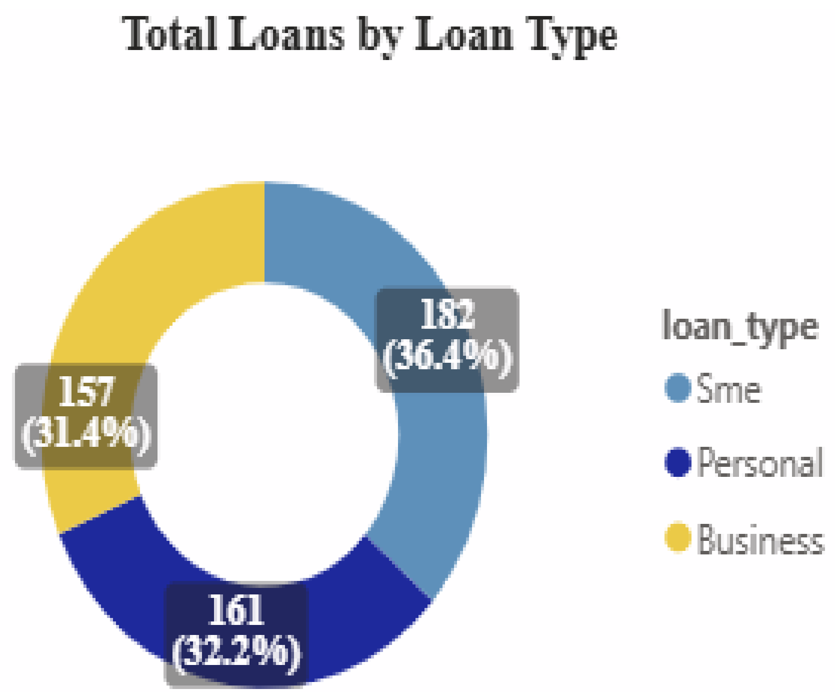
69 loans are unpaid out of 500 leaving us with a default rate of **13.8%**

Problem Loan Type



- SME Loans make up the biggest slice of our Loan type at **36.4%**

- Personal loans make up 32.2% and Business 31.4%
- SME Loans has the highest default rate at **17.8%**, since most of our money is tied up SME, it is currently the primary driver of the bank’s capital losses .

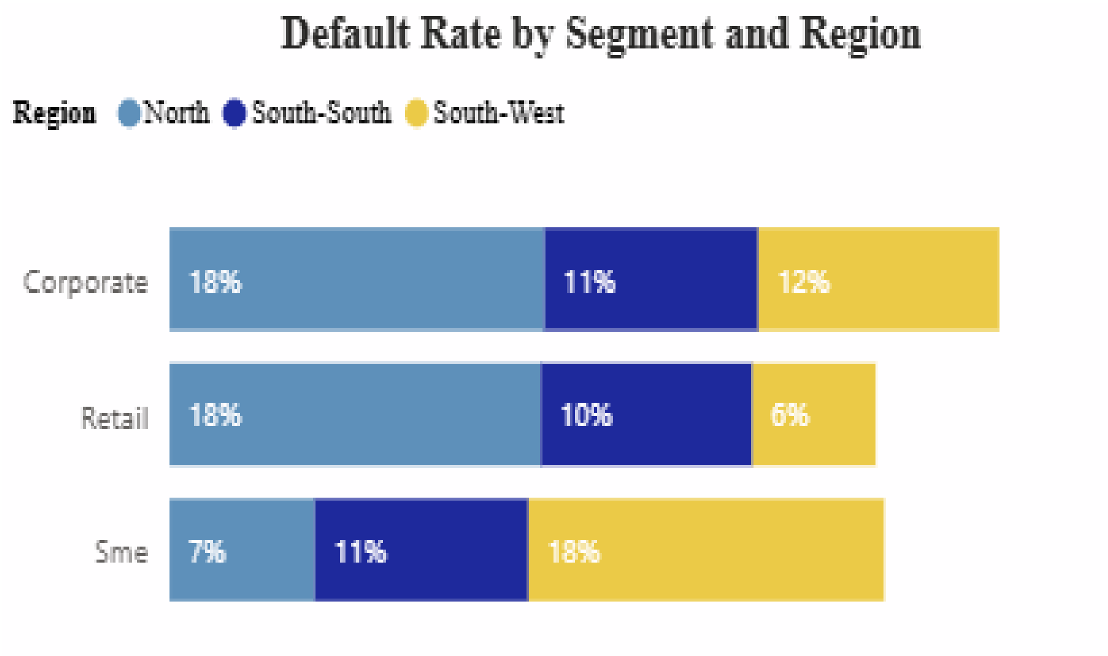


Regional Defaults – The Main Source of the Problem

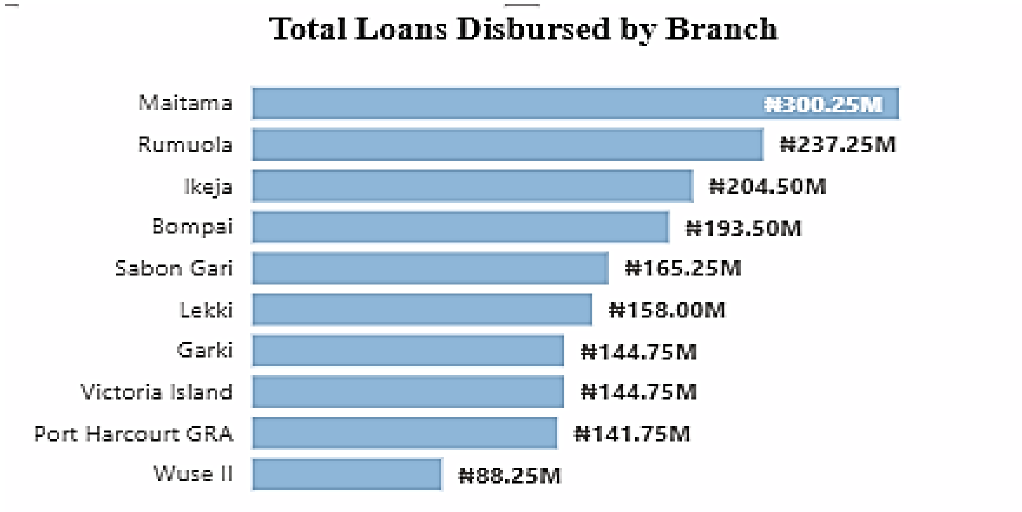
The
North is the worst performing region with the highest number of default loans. it has an **18%** failure rate each for Corporate and Retail Customers.

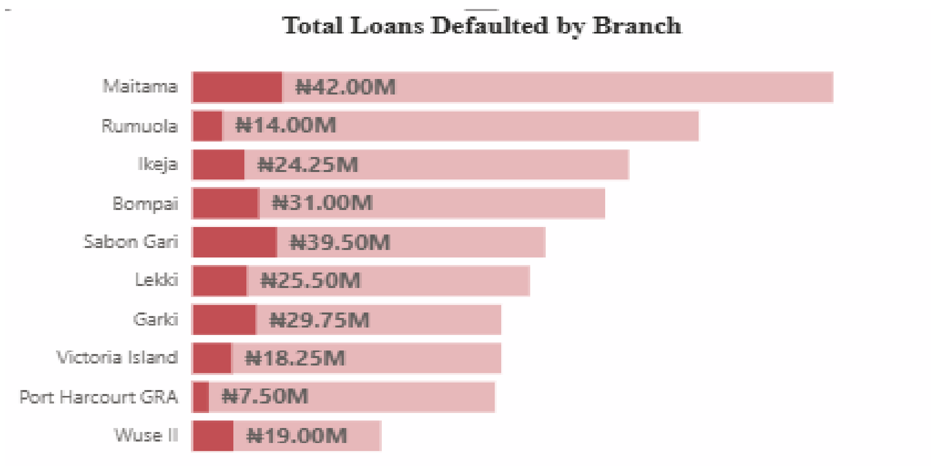
The South-West Region has **18%** Critical failure in SME Customers.

Loan defaults are localized, not systemic. Customer segments that are **stable** in one region show critical failure rates in others



Branch Performance: Identifying the Problem Areas





Maitama pushes the highest total volume of cash at over **₦300Million.** Even with a lower default rate of **11%**, their bad loans cost us the most actual money (₦42 Million)

Sabon Gari is our most inefficient branch with a critical **20% default rate**. They lost almost the exact same amount of cash as Maitama despite having only half their disbursement volume.

RM Performance

rm_name	region	branch_name	Attainment %	Default Rate %	Total Loans Disbursed	Sum of target_amount
Ngozi Chukwu	North	Maitama	212.3%	11%	₦159,250,000	₦75,000,000
Segun Bankole	South-South	Rumuola	377.5%	8%	₦151,000,000	₦40,000,000
Obinna Nwachukwu	North	Maitama	188.0%	13%	₦141,000,000	₦75,000,000
Gbenga Adesanya	South-West	Ikeja	386.7%	8%	₦116,000,000	₦30,000,000
Ibrahim Bello	South-West	Lekki	149.0%	7%	₦111,750,000	₦75,000,000
Vivian Osei	North	Bompai	246.9%	16%	₦98,750,000	₦40,000,000
Emeka Nwosu	South-West	Victoria Island	194.0%	4%	₦97,000,000	₦50,000,000
Wale Akinwale	North	Bompai	189.5%	25%	₦94,750,000	₦50,000,000
Funmi Adeyemi	South-West	Ikeja	221.3%	15%	₦88,500,000	₦40,000,000
Rita Okonkwo	South-South	Rumuola	287.5%	12%	₦86,250,000	₦30,000,000
Uche Ikenna	North	Sabon Gari	172.5%	19%	₦86,250,000	₦50,000,000
Josephine Eze	North	Garki	275.8%	3%	₦82,750,000	₦30,000,000
Tunde Fashola	North	Sabon Gari	131.7%	22%	₦79,000,000	₦60,000,000
Qudus Suleiman	South-South	Port Harcourt GRA	97.3%	16%	₦73,000,000	₦75,000,000
Patience Uche	South-South	Port Harcourt GRA	171.9%	6%	₦68,750,000	₦40,000,000
Kingsley Obi	North	Garki	206.7%	35%	₦62,000,000	₦30,000,000
Musa Garba	North	Wuse II	78.3%	24%	₦58,750,000	₦75,000,000
Adaora Okafor	South-West	Victoria Island	159.2%	33%	₦47,750,000	₦30,000,000
Halima Musa	South-West	Lekki	61.7%	18%	₦46,250,000	₦75,000,000
Lara Adeleke	North	Wuse II	73.8%	11%	₦29,500,000	₦40,000,000
Total			**176.1%**	**14%**	**₦1,778,250,000**	**₦1,010,000,000**

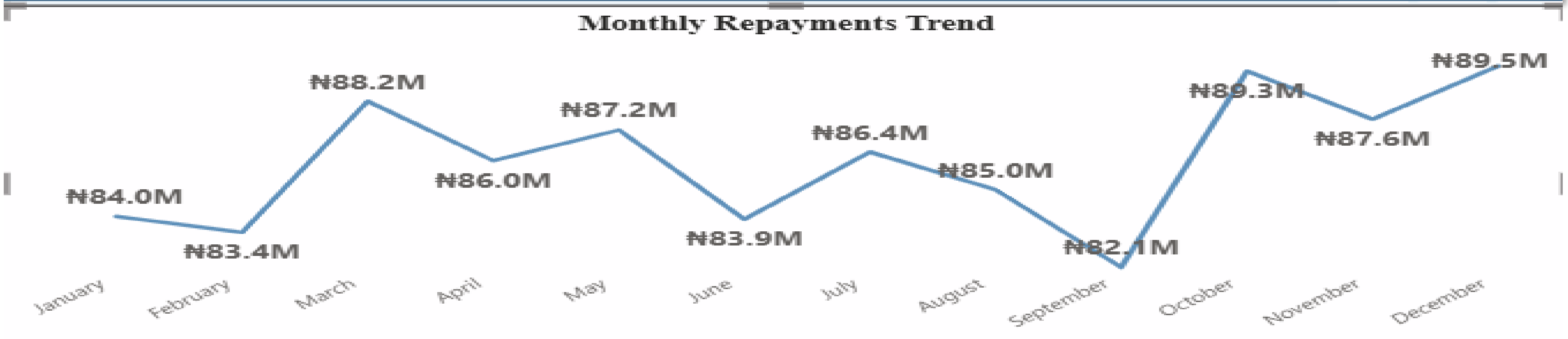
Regional Manager Performance

RMs in other regions safely manage massive loan volumes with low defaults rates.

The extreme **22%–35%** default rates happen because specific RMs are ignoring credit quality just to hit their sales targets.

This further enforces that the **North** is the worst performing region

Repayment Trends- How Collections Changed Over the Year



Jan-August

Loan repayment was unsteady through the year,

September

Repayment hit an all time low in September at about ₦82 Million

Oct & Dec

Repayment then hit an all time high in October and December at over ₦89 million

Most loans matured at the last quarter of the year, increasing the impact of the 13.8% default spike.

Recommendation

Pause loan approvals for **SME customers** in the South-West and **Corporate/Retail clients** in the North until we audit their vetting process.

Require a secondary review for all large loans out of **Maitama** to protect our biggest cash investments.

Launch a complete process restructuring of the **Sabon Gari** branch.

To fix the SME loan default rate, we must verify actual cash-flow for new loans and review Northern branches to enforce these rules.

Train the South-West on the North's winning SME process, and the North on the South-West's successful Retail process.

Spread loan maturity dates evenly across the calendar year to avoid the "Q4 Rush

Reward Good Loans, Not Just Big Numbers

Tie staff bonuses to successful collections not just money disbursed

Conclusion

Our **12%** default spike is a localized crisis driven by a "Quantity-over-Quality" culture in the Northern Region, specifically involving the **SME Loan** with the highest default rates

To protect our capital, we must immediately pivot from volume to value. By strictly linking RM incentives to successful repayments and spreading maturity dates over the year to eliminate the Q4 Repayment Rush to restore sustainable, profitable growth.

Thank You